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that's the stance of the Supreme Court since the Balco case [in 2001]. Running a business is not an essential sovereign function of the government.

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What is your strategy for disinvestments in FY24 given that elections are coming and there is expectation of a slowdown in stake sales?

Right now, we are concentrating on ongoing transactions. Much will depend upon the completion of these transactions, which is dependent on the bidders and the time taken for due diligence. Although we have a number on disinvestments, chasing it as a sacrosanct number will be difficult because markets also change.

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Do you expect FY24's Budgeted target for disinvestment to be revised?

Normally, the relook of the disinvestment target is at the stage of preparing the Revised Estimates. The current trend will depend upon which transactions get concluded. If some of the big transactions get concluded, one may get the full money.

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There is speculation that the privatisation of IDBI Bank may

get delayed beyond this fiscal. Is that correct?

No, the IDBI Bank disinvestment is well under process. We can't react to speculative reports every time they come. Transactions where there is transfer of management control are longish transactions. They undergo a lot of due diligence by both us as well as the bidders.

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Is a further stake sale in Life Insurance Corporation of India on the cards?

No, we are not looking at an LIC FPO (follow-on public offer) in the immediate future. We have sold 3.5 per cent stake and LIC has a very large market capitalisation. Therefore, there is no possibility of offloading 5-10 per cent of stake to the public in two years. [The government had in January exempted public sector entities from the minimum public shareholding norm that mandates 25 per cent public float for all listed firms.] At the moment, our effort is that LIC is fully engaged with its process of transformation and is trying to do several things on product mix, digitisation, earnings and so on. Several of these are being done so that LIC can demonstrate through its quarterly performance that what it had said in the red herring prospectus is happening and the market also gets a sense of it... So, we aren't interested in an FPO at this stage, especially when we are concerned that the stock price has been less than what we thought it will be after listing. There has to be an adequate understanding about LIC among a wider set of investors and once that happens, it can move. We do not want to create another round of uncertainty in LIC for now. **BT**

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Pranav Haldea, MD of capital markets data provider PRIME Database Group, sums it up. "I expected more strategic divestments and privatisations to have taken place. Instead, there have primarily been more of small minority stake sales, apart from the big-ticket and long pending privatisation of Air India," he notes. According to Haldea, the focus of the government should only be in education, healthcare and infrastructure where there is much to be done.

LOWER THAN ANTICIPATED NUMBERS

The numbers also reflect this shortfall. Targets for receipts from disinvestment have been revised in most years with the receipts from stake sales often lower than anticipated. The Revised Estimates have been lower than the Budget Estimates in seven of the nine fiscal years since 2014-15 (See Chart *At Snail's Pace*). Higher dividends from state run firms have often helped make up for the shortfall in revenue and helped manage the fiscal deficit.

But government officials and experts stress that disinvestment cannot be seen just as a cash cow. Correct processes, due diligence, value maximisation and timing the market are more important than just rushing to meet a specific goal. Vivek Kumar, Economist at QuantEco Research, notes that the Budget targets for disinvestment are also aspirational in the sense that this is what the government would like to do. "But to a large extent, disinvestment is dependent on market conditions. There are also procedural delays or political opposition that led to a shortfall in the target," he points out. Consequently, several transactions, especially those relating to strategic sales where government equity and management control have to be transferred

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